

Micron Technology, Inc.

MU NASDAQ

Buy	\$922.95 ▲ 6.27%	12M Price Target \$1100.00	52-Week Range \$113.46 – \$1255.00	Market Cap N/A
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MU: Memory Supercycle Meets CHIPS Act Tailwind

WHAT HAPPENED

- MU jumped 6.3% to \$923 on notably LOW volume (9M vs 30M+ recent days) — that's a tell. Low-volume rips usually mean short covering or a lack of sellers rather than aggressive institutional buying, so take the move with a grain of salt. The catalyst: chip stocks broadly caught a bid on renewed AI infrastructure enthusiasm, and a Barron's piece flagged SK Hynix outperformance — which cuts both ways (validates memory demand, but suggests MU is the "catch-up trade").
- The 24/7 Wall St piece calling "memory cyclicalty dead" is the kind of headline that historically marks tops in this sector — file that under "be aware, not scared."

WHY IT MATTERS

Here's what I think is really going on: MU has been consolidating in the \$860-880 range for a week, and today's pop on thin volume suggests the sellers are exhausted, not that buyers are stampeding in. The stock is at 71% of its 52-week range (\$113 to \$1,255) — meaning it's already had a monster run and is closer to the highs than the lows. The bigger story is that Micron is now viewed as a strategic national asset — the US government has explicitly bet on them via CHIPS Act grants to build domestic memory fabs in Idaho and New York, and that policy backstop meaningfully reduces the downside in a cyclical downturn. But watch the options flow: unusual PUT buying at \$1,070-\$1,100 strikes tells me sophisticated money is betting the stock STALLS below those levels near-term, even though they're bullish longer-term.

POLICY & POLITICAL WATCH

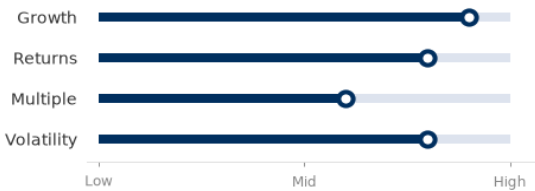
The CHIPS and Science Act remains the single biggest policy tailwind — Micron was awarded roughly \$6.1B in direct funding to build US fabs, and the Trump administration's push to renegotiate/expand semiconductor tariffs on Chinese imports (particularly the Section 301 review ongoing this summer) directly benefits MU by making Chinese memory competitors like CXMT less competitive on US soil. Watch for the export control update expected from Commerce in late August — any tightening on selling advanced HBM to China would hurt near-term revenue (China is ~11% of sales) but reinforce MU's strategic moat. Bottom line: this is a stock where Washington is actively picking winners, and MU is on the winning list.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$922.95
12M Price Target	\$1100.00
Upside / (Downside)	+19.2%
Market Cap	N/A
FY2026E Revenue	\$45,000M
FY2027E Revenue	\$58,000M
FY2026E EPS	\$14.20
FY2027E EPS	\$22.50
Fwd P/E	65.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1050.00	\$960.00	\$850.00
6 Months	\$1250.00	\$1080.00	\$800.00
1 Year	\$1400.00	\$1100.00	\$750.00
2 Years	\$1700.00	\$1300.00	\$650.00
5 Years	\$2400.00	\$1600.00	\$500.00
10 Years	\$3500.00	\$2000.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.77% today) led by semis and AI infrastructure — the "picks and shovels" narrative (memory, networking, power) is broadening beyond just Nvidia. Energy also strong on the 5-day (+6%), reflecting AI datacenter power demand.

COOLING OFF: Financials and Real Estate are lagging — rate cut expectations have been pushed out, and Real Estate is down 2.2% on the week.

ROTATION WATCH: Money is rotating within tech from mega-cap AI names into the supply chain — memory, advanced packaging, and power infrastructure. That's a direct tailwind for MU as the "second derivative" AI play.

RELATED PLAY: If you want less concentrated exposure, look at the advanced packaging names (Amkor, ASE) and datacenter power (Vertiv, Eaton) — they benefit from the same trend without the memory pricing risk.

WHO'S WINNING IN THIS SPACE?

- 000660.KS (SK Hynix): Leading the memory rally globally — first to qualify HBM3E with Nvidia, capturing premium pricing. Barron's flagged them outpacing MU today.
- NVDA (Nvidia): Still the demand driver — every dollar of Nvidia GPU revenue pulls memory demand behind it.
- AVGO (Broadcom): Custom AI silicon growth is diversifying who buys HBM.

MU CONTEXT: MU is lagging SK Hynix on a relative basis, which actually creates the setup — if you believe memory cycle continues, MU is the catch-up trade with the added US policy tailwind Hynix doesn't have.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm bullish but not table-pounding at these levels; I'd be more excited on a pullback.

POSITION SIZE: 3-5% of portfolio — real upside but real volatility, don't oversize.

ENTRY POINTS: I'd add on pullbacks to \$850-880 (recent consolidation floor) — chasing today's low-volume rip is a bad risk/reward.

TIME HORIZON: 12-24 months, catalyst is the Q1 FY27 earnings print showing HBM4 traction and margin expansion.

WHEN TO BAIL: If hyperscaler capex guidance disappoints in Q3 earnings, or if MU loses HBM4 socket at Nvidia to Samsung — either one invalidates the thesis.

HEDGING: Buy some protective puts 10-15% below current price for the next 3 months — cheap insurance given how much this stock can move on a bad memory print. Or pair it with a short in a richer-valued AI name to reduce beta exposure.